

FINOVA Quant & Trading

Recruitment Task

Satvik Jayaswal-251090610134

1.Reliance

Trade Number	Entry Date	Entry Price	Exit Date	Exit Price	% Profit/Loss %
1	20th October 2025	₹1466.8	16th January 2026	₹1458.8	-0.55%
2	06th May 2026	₹1463.0	13th May 2026	₹1361.4	-6.94%

Total Trades: 2

Number of Winners: 0

Win Rate: 0%

Largest Single Winner: N/A (or 0.00%)

Largest Single Loser: -6.94%

Full 12 Month chart with Visible 20/50 EMA's:



Single Best Trade(Least Loss out of the 2):



Single Worst Trade(Most Loss out of the 2):



My Verdict:

I wouldn't have taken a single standalone 20/50 Daily EMA crossover on a stock for real money - this particular backtest of 12 months produced -7.49% total loss on two trades with 0% Win Rate, thus proving that taking entry/exit signals from these two moving averages without any additional filters is a losing strategy.

1.)Core Weaknesses & Failure Points:

- Massive Lag on Exits: Sell signals confirm only after major pullbacks have already occurred. Trade #1's virtually entire run-up profit has been erased before the crossover could trigger an exit.
- Indicator crossovers are ineffective in sideways markets. Trade #2's sudden price spike triggered a buy near the local peak, resulting in a -6.94% loss days later when price reverted.

- Low Signal Frequency: Producing only 2 trades in a full year leaves capital either sitting idle or exposed to isolated false breakouts.

2.)Where It Works vs. Where It Fails:

- Works Best In: Strong, sustained macro bull/bear trends, where gains from extended runs can outweigh frequent minor losses.
- Fails Completely In: Sideways, choppy/consolidating markets, which characterized most of Reliance's price action during this backtesting period.